



dino
najbliżej Ciebie

Full Year 2017
Results Presentation
19th March 2018

Disclaimer

Neither this presentation (the “Presentation”) nor any copy of it nor the information contained herein being issued. and nor may this Presentation nor any copy of it nor the information contained herein be distributed directly or indirectly to or into, the United States, Canada, Australia or Japan.

By attending this meeting where this Presentation is made, or by reading the Presentation slides, you agree to be bound by the following terms, conditions and limitations. The above applies to the Presentation, the oral presentation of the information in the Presentation by the Company (as defined below) or any person on behalf of the Company, and any question-and-answer session that follows the oral presentation, if any (collectively referred to as the Presentation).

This Presentation does not constitute or form part of and should not be construed as, an offer to sell, or the solicitation or invitation of any offer to buy or subscribe for or underwrite or otherwise acquire, any securities of Dino Polska S.A (the “Company”) or any member of its group (the “Group”), nor should it or any part of it form the basis of, or be relied on in connection with, any contract to purchase or subscribe for any securities of the Company or any member of its Group, nor shall it or any part of it form the basis of or be relied on in connection with any contract or commitment whatsoever. This Presentation does not constitute a recommendation regarding any securities of the Company or its Group.

This Presentation contains certain statistical and market information. Such market information has been sourced from and/or calculated based on data provided by third-party sources identified herein or by the Company, if not attributed exclusively to third-party sources. Because such market information has been prepared in part based upon estimates, assessments, adjustments and judgments which are based on the Company's or third-party sources' experience and familiarity with the sector in which the Company operates and has not been verified by an independent third party, such market information is to a certain degree subjective. While it is believed that such estimates, assessments, adjustments and judgments are reasonable and that the market information prepared appropriately reflects the sector and the market in which the Company operates, there is no assurance that such estimates, assessments, adjustments and judgments are the most appropriate for making determinations relating to market information or that market information prepared by other sources will not differ materially from the market information included herein.

All statements in this document or made during any accompanying oral Presentation other than statements of historical fact are, or may be deemed to be, “forward-looking statements”. In some cases, forward-looking statements can be identified by the use of terms such as “anticipate”, “believe”, “intend”, “estimate”, “expect” and words of similar meaning. All statements other than statements of historical facts included in this Presentation, including, without limitation, those regarding the Company's financial position, business strategy, plans and objectives of management for future operations (including development plans and objectives relating to the Company's products and services) are forward-looking statements. Such forward-looking statements involve known and unknown risks, uncertainties and other important factors that could cause the actual results, performance or achievements of the Company to be materially different from future results, performance or achievements expressed or implied by such forward-looking statements. Such forward-looking statements are based on numerous assumptions regarding the Company's present and future business strategies and the environment in which the Company will operate in the future. These forward-looking statements speak only as at the date of this Presentation. The Company expressly disclaims any obligation or undertaking to disseminate any updates or revisions to any forward-looking statements contained herein to reflect any change in the Company's expectations with regard thereto or any change in events, conditions or circumstances on which any such statement is based, unless otherwise required by the applicable provisions of law. The Company cautions you that forward-looking statements are not guarantees of future performance and that the Company's actual financial position, business strategy, plans and objectives of management for future operations may differ materially from those made in or suggested by the forward looking statements contained in this Presentation. In addition, even if the Company's financial position, business strategy, plans and objectives of management for future operations are consistent with the forward-looking statements contained in this Presentation, those results or developments may not be indicative of results or developments in future periods. The Company does not undertake any obligation to review or confirm, or to release publicly or otherwise to investors or any other person, any revisions to any forward-looking statements to reflect events that occur or circumstances that arise after the date of this Presentation.

This Presentation and any materials distributed in connection with this Presentation are not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would require any authorization, registration, notification or licensing within such jurisdiction. Persons into whose possession any document or other information referred to herein comes should inform themselves about and observe any such restrictions. Any failure to comply with these restrictions may constitute a violation of the securities laws of any such jurisdiction.

Neither this Presentation or any part hereof nor the information contained herein may be reproduced or redistributed, passed on, or the contents otherwise divulged, directly or indirectly, to any other person or published, in whole or in part. The information contained in the Presentation has not been independently verified. No representation, warranty or undertaking, expressed or implied, is made by any person as to, and no reliance should be placed on, the fairness, accuracy, completeness or correctness of, the information or the opinions contained herein.

Only current and periodic (financial) reports of the Company are legally binding documents containing information about the Company and may contain information that is different from the information contained in this Presentation.

Our achievements in 2017



+147 stores



+16.2% LFL y-o-y



+34.0% sales y-o-y



+39.2% EBITDA¹ y-o-y



+0.18 pp gross margin y-o-y



+0.33 pp EBITDA¹ margin y-o-y

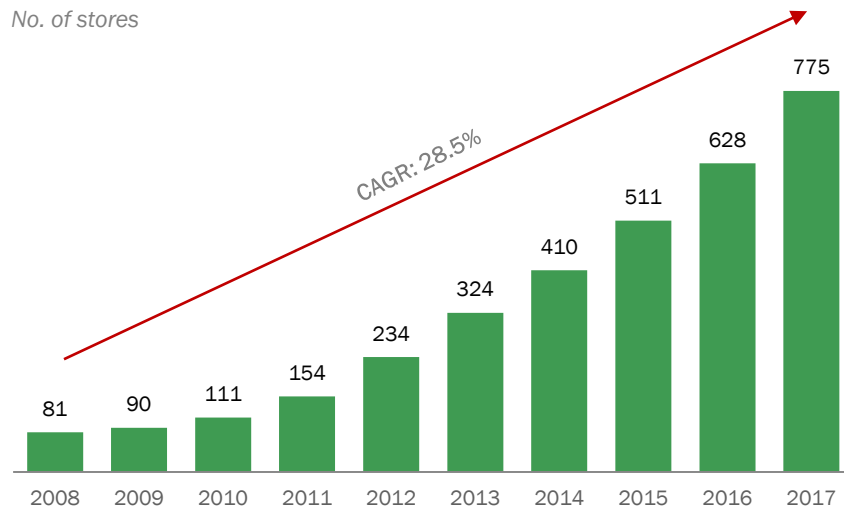
Network expansion – higher number of stores and geographic composition

Network expansion

Net sales area ('000 m²)

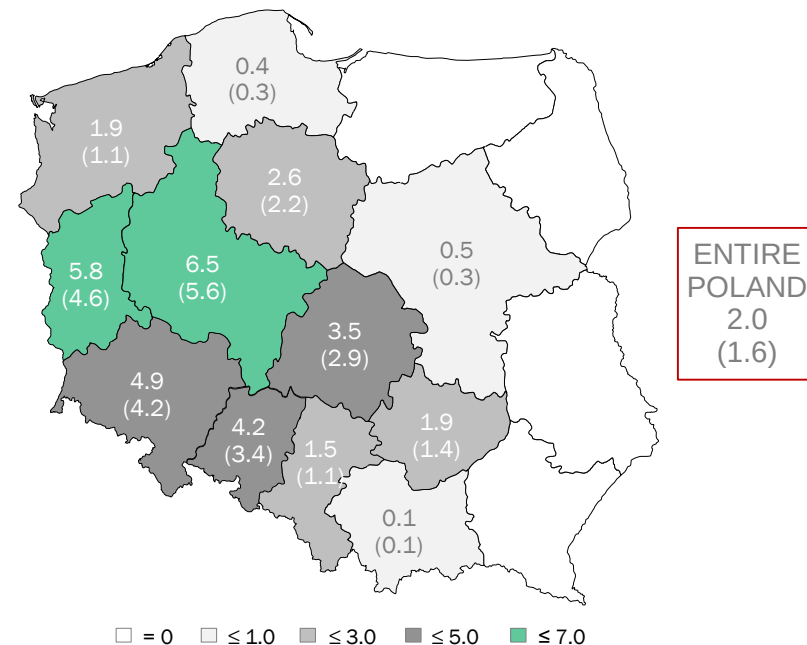


No. of stores



Regional coverage

Stores per 100k inhabitants as of December 31, 2017 (in brackets as of December 31, 2016)



Network growth – plots secured for new stores



+147
2017

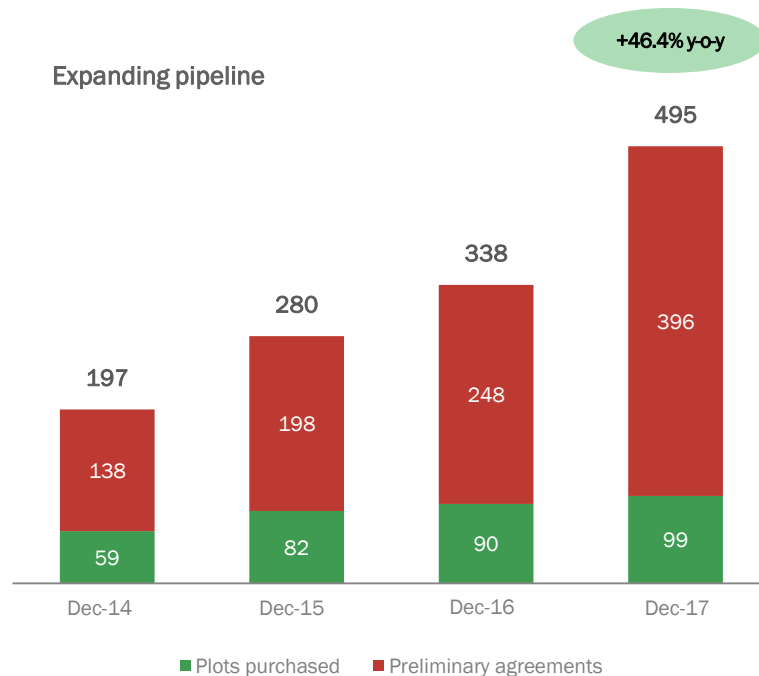
No. of newly opened stores



+46.4%
12/31/2017
y-o-y

Store pipeline

Expanding pipeline

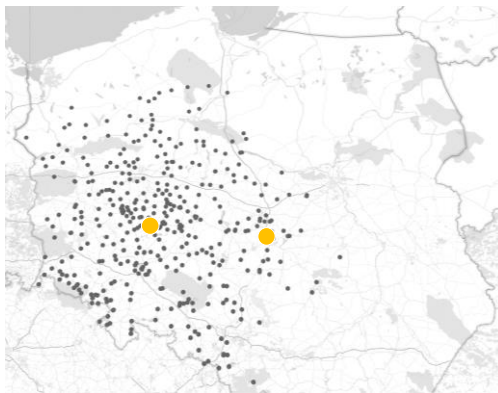


Proven roll-out capabilities based on store ownership

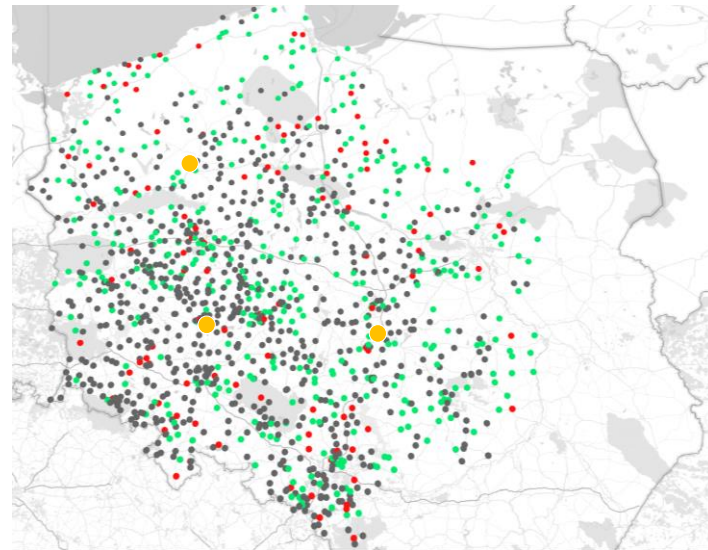
2011: 154 stores, 1 distribution center



2014: 410 stores, 2 distribution centers



2017: 775 stores, 3 distribution centers, further roll-out



● Distribution centers
 ● Opened stores
 ● Preliminary agreements
 ● Purchased plots of land and stores under construction

Still **plenty of room** to **increase density** in existing areas as well as **expand** to new regions

Significant growth of LFL sales

Annual
inflation
(deflation) %

2.6

4.3

3.7

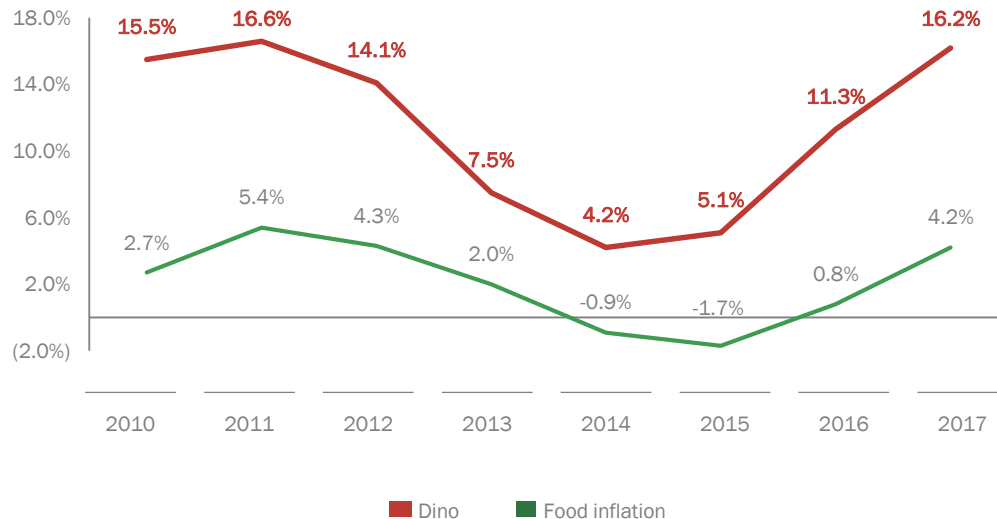
0.9

0.0

(0.9)

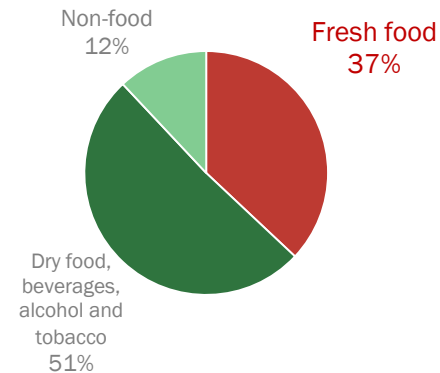
(0.6)

2.0



Sales mix

Product split by revenue in 2017



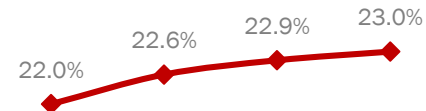
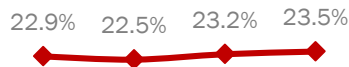
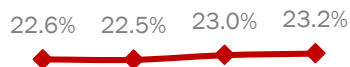
5,000 SKUs at a typical
Dino store

98% of the offering is
branded

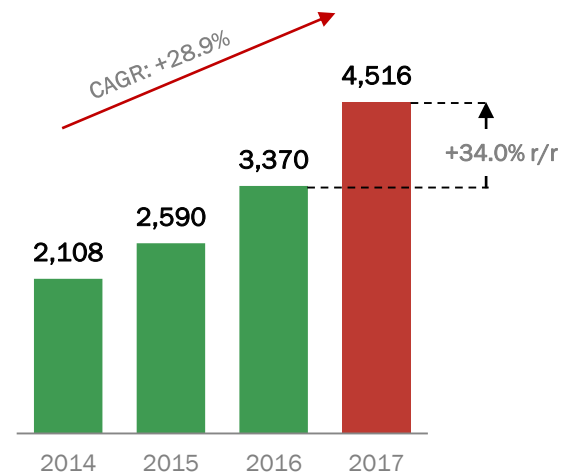
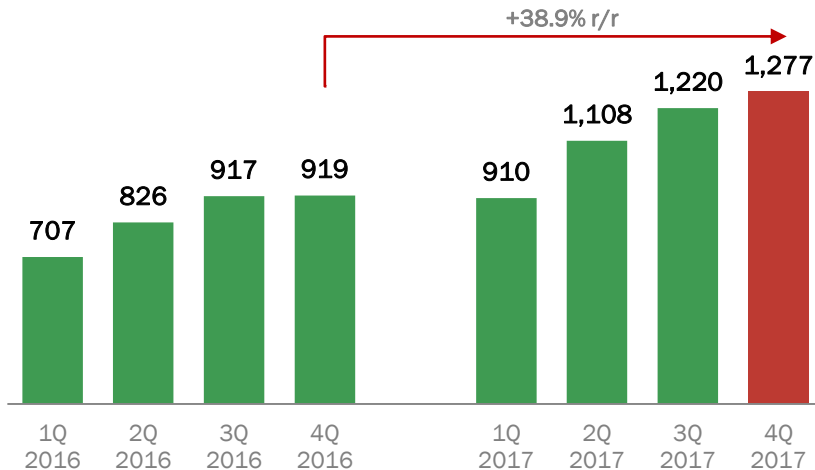
Fresh product offering
driving daily visits

High revenue growth and improvement in the gross margin

Gross margin



Revenues (PLNm)

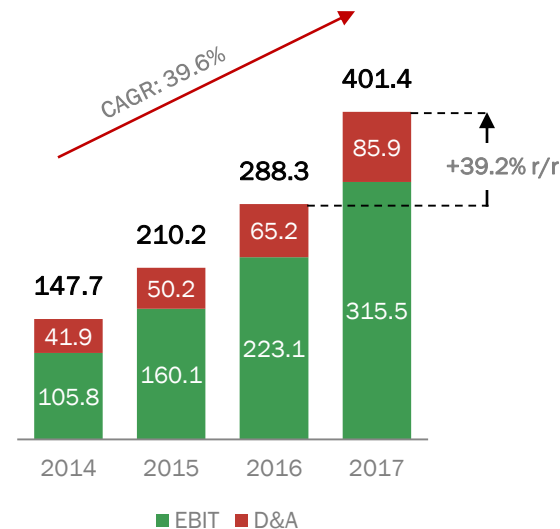
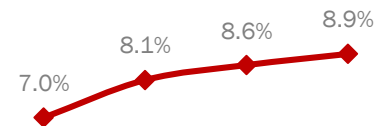
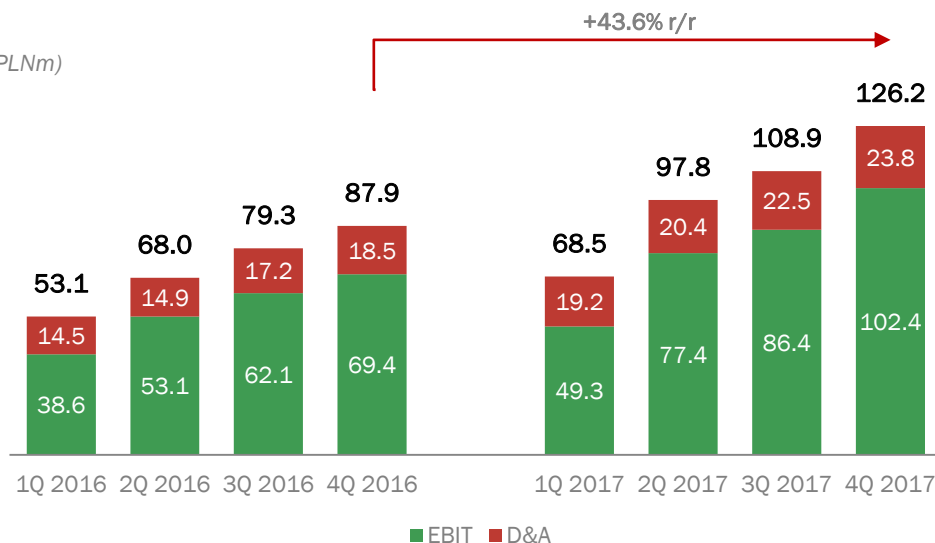


Consistent growth in results and the EBITDA margin¹

EBITDA margin



(EBITDA PLNm)

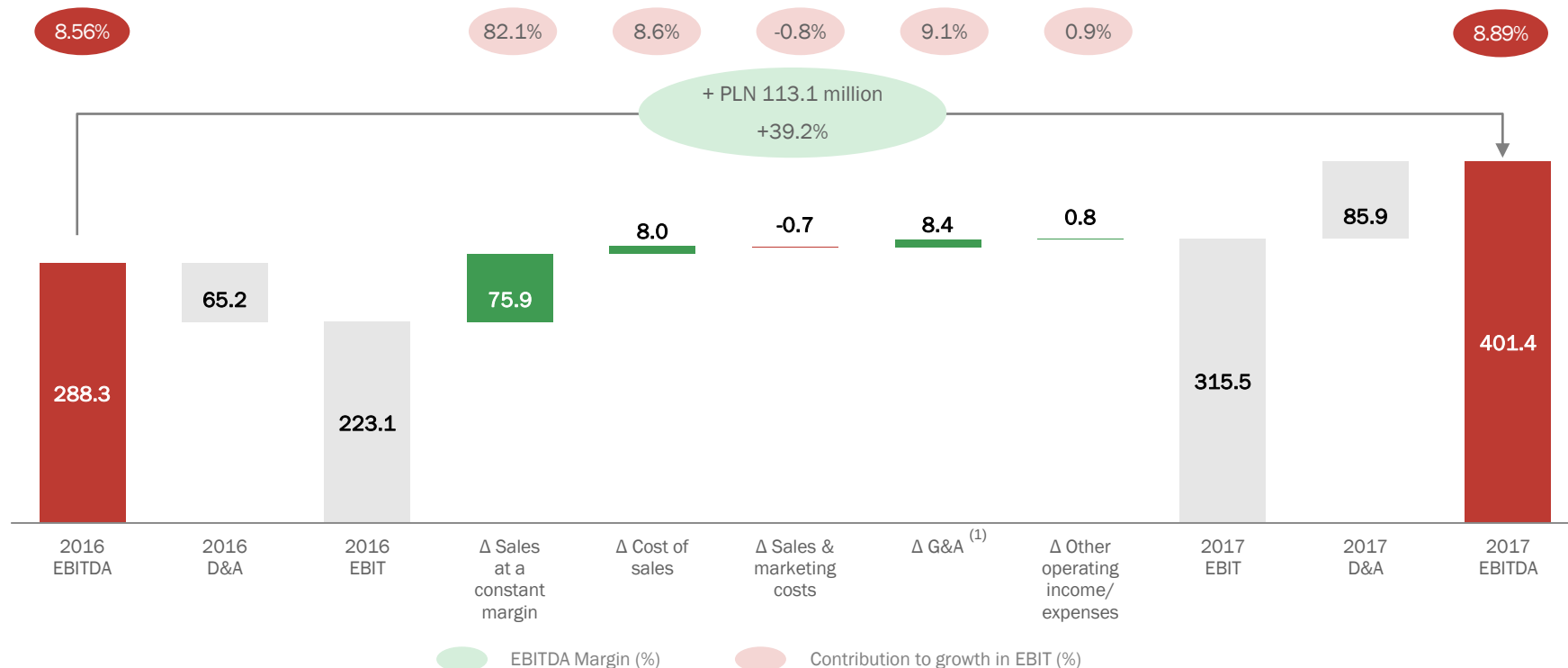


Source: Company financial statements

(1) Adjusted for the IPO-related one-off expenses of: PLN1,1m in 2Q '16; PLN2,7m in 3Q '16; PLN3,7m in 4Q '16; PLN3,0m in 1Q '17 and PLN 9,3m in 2Q '17

2017 EBITDA bridge

(PLNm)



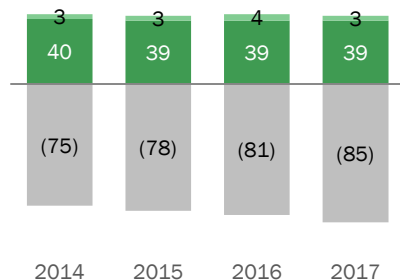
(1) Excluding one-off IPO costs of: PLN 7.500m in 2016 and PLN 12.272m in 2017

Effective working capital management and strong operating cash flow

NWC split ⁽¹⁾

(days)

Total NWC: (31) (36) (38) (43)



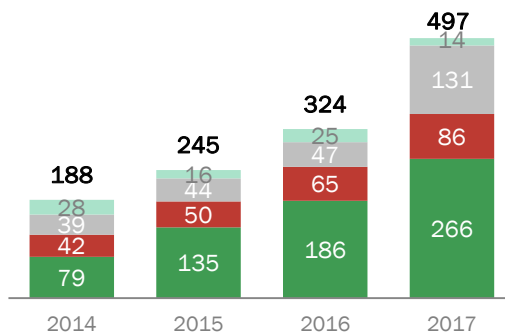
■ Days payables outstanding ⁽²⁾

■ Days sales outstanding ⁽³⁾

■ Days inventories held ⁽⁴⁾

OCF Structures

(PLNm)



■ Profit before tax

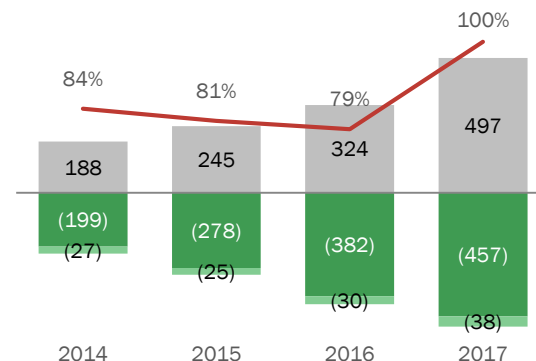
■ D&A

■ Change in WC

■ Other ⁽⁵⁾

OCF covering significant share of CapEx⁽⁶⁾ needs

(PLNm, %)



■ OCF

■ Financial expenses

■ CapEx

— OCF / CapEx + financial expenses

Source: Company consolidated financial statements

(1) Working capital calculated as of the end of the respective year due to high pace of rollout requiring a substantial amount of the stock at the end of the year

(2) Days payables outstanding defined as a value of trade payables divided by COGS for the last twelve months and multiplied by 365

(3) Days sales outstanding defined as a value of receivables divided by sales for the last twelve months and multiplied by 365

(4) Days inventories held defined as a value of inventories divided by COGS for the last twelve months and multiplied by 365

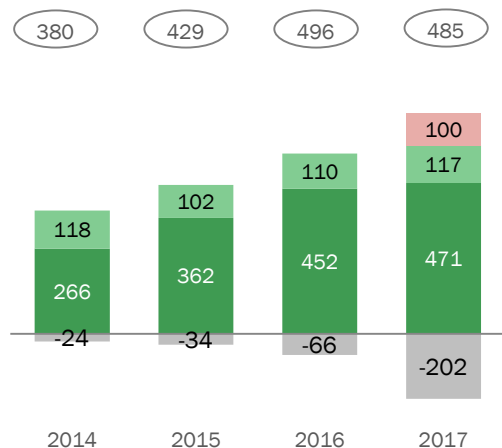
(5) Net interest expense, tax expense, change in accruals and provisions, investment activity gains and other adjustments

(6) CapEx is presented as total additions of PPE and intangible assets in each year (includes assets acquired under financial leases)

Strong balance sheet

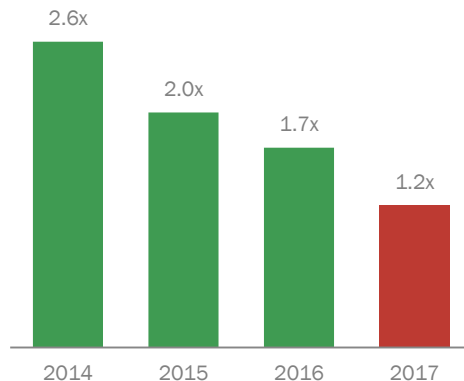
Net debt structure

(PLNm)

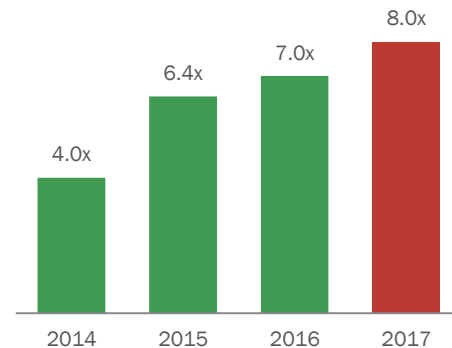


- Cash and cash equivalents
- Bonds
- Current portion on interest-bearing loans and finance leases
- Interest-bearing loans and finance leases

Net debt/EBITDA⁽¹⁾



Improving debt service



■ Interest coverage ratio⁽³⁾

(1) EBITDA adjusted for the IPO-related one-off expenses incurred in 2016 – 2017

(2) Interest coverage ratio defined as EBIT divided by financial expenses for the last twelve months

Capital expenditures¹

Incurred in 2017



**STORES,
LAND PLOTS**

85%



**LOGISTICS,
HEAD OFFICE**

11%



**MEAT
PROCESSING
PLANT**

4%

PLN 457 million

Planned for 2018



**STORES,
LAND PLOTS**

~73%



**LOGISTICS,
HEAD OFFICE**

~17%



**MEAT
PROCESSING
PLANT**

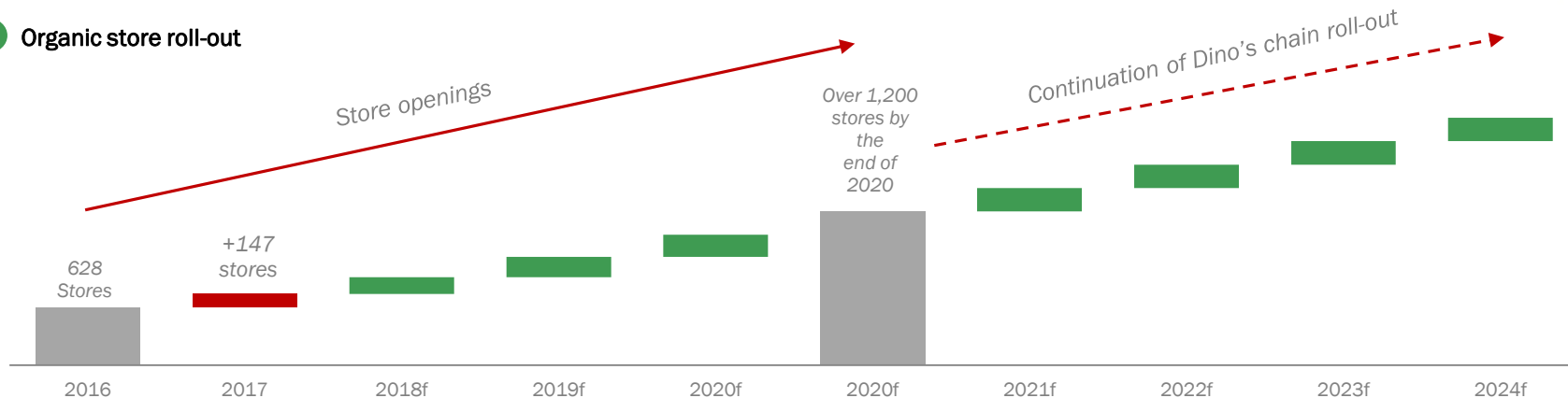
~10%

~ PLN 650 million

(1) Defined as the sum of purchase of items of property, plant and equipment and intangible assets (includes assets acquired under financial leases))

Strategy update

1 Organic store roll-out



2 LFL growth

16.2%
LFL growth in 2017
(vs 4.2% food inflation)

3 Improving profitability

+ 0.18 pp
Gross margin
improvement
in 2017 y-o-y

+ 0.33 pp
EBITDA margin
improvement
in 2017 y-o-y

Q&A



Company financial statements (1/5)

Profit and loss statement¹

(PLNm)	2014	2015	2016	2017	1Q 2016	2Q 2016	3Q 2016	4Q 2016	1Q 2017	2Q 2017	3Q 2017	4Q 2017	2017 r/r + / (-)
Sales	2 108.0	2 589.6	3 369.5	4 515.9	707.4	826.1	916.6	919.4	910.3	1 108.1	1 220.2	1 277.4	34.0%
Cost of sales	(1 644.1)	(2 004.7)	(2 599.0)	(3 475.3)	(547.7)	(640.1)	(705.4)	(705.8)	(701.7)	(858.3)	(937.6)	(977.7)	33.7%
Gross profit	463.9	584.9	770.5	1 040.6	159.6	186.0	211.3	213.6	208.6	249.7	282.6	299.7	35.1%
Other operating income	1.5	3.1	2.6	3.7	1.0	0.4	0.7	0.6	0.5	0.7	0.6	1.8	40.3%
Selling and marketing costs	(324.6)	(391.6)	(505.9)	(678.7)	(113.3)	(123.0)	(137.4)	(132.2)	(149.7)	(160.7)	(183.1)	(185.1)	34.2%
Administrative expenses and general overheads	(31.3)	(35.4)	(49.4)	(60.0)	(8.6)	(11.3)	(14.1)	(15.5)	(12.9)	(21.4)	(13.3)	(12.4)	21.4%
Other operating expenses	(3.7)	(1.0)	(2.3)	(2.4)	(0.2)	(0.1)	(1.1)	(0.9)	(0.1)	(0.3)	(0.3)	(1.6)	4.6%
Operating profit	105.8	160.1	215.6	303.2	38.6	52.0	59.4	65.6	46.3	68.1	86.4	102.4	40.7%
Financial income	0.2	0.1	0.5	0.7	0.0	(0.0)	0.2	0.3	0.1	0.0	0.0	0.5	38.5%
Financial expenses	(26.7)	(24.9)	(29.6)	(37.9)	(7.8)	(7.4)	(8.0)	(6.5)	(8.4)	(9.4)	(9.4)	(10.6)	27.9%
Profit before tax	79.3	135.2	186.5	266.0	30.8	44.6	51.5	59.5	38.0	58.7	77.0	92.3	42.7%
Income tax	(13.2)	(13.1)	(35.2)	(52.4)	(7.5)	(6.7)	0.4	(21.5)	(7.6)	(12.0)	(13.5)	(19.4)	48.7%
Net profit from continuing operations	66.1	122.2	151.2	213.6	23.4	37.9	52.0	38.0	30.5	46.7	63.5	72.9	41.3%

Source: Company financial statements

(1) Not adjusted for one-offs related to the IPO: PLN1.1m in 2Q '16; PLN2.7m in 3Q '16; PLN3.7m in 4Q '16; PLN3.0m in 1Q '17 and PLN9.3m in 2Q '17

Company financial statements (2/5)

Balance sheet												
(PLNm)	2014	2015	2016	2017	1Q 2016	2Q 2016	3Q 2016	4Q 2016	1Q 2017	2Q 2017	3Q 2017	4Q 2017
Assets												
Property, plant and equipment	798.9	1 024.2	1 337.2	1 697.6	1 090.8	1 180.5	1 260.5	1 337.2	1 386.4	1 497.0	1 593.2	1 697.6
Intangible assets	90.7	92.3	93.1	92.8	92.0	91.5	92.1	93.1	92.5	92.2	91.7	92.8
Other non-financial assets (long term)	1.9	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Deferred tax assets	37.0	34.3	26.9	17.6	30.4	32.8	34.4	26.9	21.9	23.2	22.3	17.6
Total non-current assets	928.6	1 150.8	1 457.1	1 808.0	1 213.1	1 304.7	1 387.0	1 457.1	1 500.8	1 612.3	1 707.2	1 808.0
Inventories	182.3	212.1	276.5	368.3	221.3	221.3	234.9	276.5	290.7	306.9	294.5	368.3
Trade and other receivables	18.8	21.7	33.7	38.0	9.4	11.0	17.6	33.7	19.2	29.3	17.9	38.0
Income tax receivables	0.0	0.1	0.6	0.1	0.1	0.0	0.0	0.6	0.6	0.0	0.0	0.1
Other non-financial assets	13.5	20.7	22.4	34.4	28.6	29.0	26.3	22.4	32.4	36.9	27.9	34.4
Cash and cash equivalents	23.7	33.9	66.4	202.6	13.8	24.5	43.0	66.4	36.4	43.1	60.2	202.6
Total current assets	238.4	288.6	399.7	643.4	273.3	285.8	321.9	399.7	379.3	416.1	400.6	643.4
Total assets	1 167.0	1 439.4	1 856.8	2 451.3	1 486.4	1 590.5	1 708.9	1 856.8	1 880.1	2 028.4	2 107.9	2 451.3
Equity and liabilities												
Equity	410.1	532.2	683.5	904.5	555.7	593.5	645.5	683.5	714.0	768.1	831.7	904.5
Share capital	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8
Reserve capital	316.0	393.0	510.7	1 111.9	510.7	510.7	510.7	510.7	790.2	1 111.9	1 111.9	1 111.9
Retained earnings	84.2	129.4	163.0	(224.7)	35.1	73.0	125.0	163.0	(86.0)	(361.0)	(297.5)	(224.7)
Non-controlling interests	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total equity	410.1	532.2	683.5	904.5	555.7	593.5	645.5	683.5	714.0	768.1	831.7	904.5

Company financial statements (3/5)

Balance sheet

(PLNm)	2014	2015	2016	2017	1Q 2016	2Q 2016	3Q 2016	4Q 2016	1Q 2017	2Q 2017	3Q 2017	4Q 2017
Interest-bearing loans, borrowings and finance lease liabilities	286.0	361.8	452.4	470.6	370.0	399.2	436.7	452.4	487.2	508.5	490.6	470.6
Liabilities under debt securities issued (LT)	0.0	0.0	0.0	99.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	99.7
Other liabilities	0.0	0.0	0.3	0.3	0.0	0.8	0.0	0.3	0.3	0.3	0.3	0.3
Provisions for employee benefits	0.5	0.8	1.1	1.2	0.8	0.3	0.8	1.1	1.1	1.1	1.1	1.2
Deferred tax liabilities	1.6	0.6	5.5	3.5	3.4	7.9	3.9	5.5	6.2	6.3	3.4	3.5
Accruals	0.1	0.1	0.1	0.5	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.5
Total long-term liabilities	288.1	363.2	459.4	575.9	374.2	408.2	441.4	459.4	494.8	516.3	495.5	575.9
Trade and other payables	337.6	429.2	574.4	811.3	367.5	374.5	370.0	574.4	531.9	585.0	601.3	811.3
Current portion of interest-bearing loans and finance lease liabilities	118.2	101.5	110.2	117.1	178.3	199.3	237.5	110.2	112.5	124.9	147.4	117.1
Liabilities under debt securities issued (ST)	0.0	0.0	0.0	0.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.7
Income tax liabilities	4.6	3.4	10.3	20.7	0.0	3.4	3.1	10.3	4.2	15.5	14.4	20.7
Accruals	0.1	0.1	0.1	0.5	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.5
Provisions for employee benefits	0.0	0.1	5.9	0.4	0.1	0.1	0.1	5.9	7.8	0.2	0.2	0.4
Total current liabilities	468.8	543.9	714.0	971.0	556.5	588.7	622.0	714.0	671.3	744.0	780.7	971.0
Total liabilities	756.9	907.1	1 173.4	1 546.8	930.7	997.0	1 063.4	1 173.4	1 166.1	1 260.3	1 276.2	1 546.8
Total equity and liabilities	1 167.0	1 439.4	1 856.8	2 451.3	1 486.4	1 590.5	1 708.9	1 856.8	1 880.1	2 028.4	2 107.9	2 451.3

Company financial statements (4/5)

Cash flow

(PLNm)	2014	2015	2016	2017	1Q 2016	2Q 2016	3Q 2016	4Q 2016	1Q 2017	2Q 2017	3Q 2017	4Q 2017
Cash flows from operating activities												
Profit before tax	79.3	135.2	186.5	266.0	30.8	44.6	51.5	186.5	38.0	58.7	77.0	92.3
Adjustments for	109.2	110.2	137.9	231.2	(36.3)	9.6	18.3	137.9	(7.0)	35.6	59.7	142.9
Depreciation and amortization	41.9	50.2	65.2	85.9	14.5	14.9	17.2	65.2	19.2	20.4	22.5	23.8
Gain/(loss) from investing activities	0.4	0.2	1.6	1.3	(0.0)	0.1	0.2	1.6	0.0	0.2	0.2	0.9
Change in the balance of receivables	59.0	(10.8)	(15.6)	(16.8)	7.3	(0.5)	2.5	(15.6)	13.7	(17.3)	18.4	(31.5)
Change in the balance of inventories	25.5	(29.9)	(64.4)	(91.7)	(9.2)	0.0	(13.7)	(64.4)	(14.2)	(16.2)	12.4	(73.7)
Change in the balance of payables except loans and borrowings	(45.5)	84.2	127.2	239.7	(49.1)	(12.8)	9.6	127.2	(23.7)	37.6	13.1	212.7
Interest income	(0.2)	(0.1)	(0.4)	(0.5)	0.0	(0.0)	0.0	(0.4)	(0.0)	(0.0)	(0.0)	(0.4)
Interest expenses	26.5	25.0	29.7	38.1	7.7	7.2	7.9	29.7	8.5	9.5	9.4	10.7
Change in the balance of accruals	3.0	3.9	4.9	7.3	(3.5)	1.7	0.1	4.9	(4.5)	2.8	0.4	8.6
Change in the balance of provisions	0.2	0.1	6.2	(5.4)	0.0	0.0	0.0	6.2	1.9	(7.6)	0.0	0.2
Income tax paid	(1.6)	(12.6)	(16.5)	(34.1)	(4.1)	(1.0)	(5.6)	(16.5)	(7.9)	(1.3)	(16.7)	(8.3)
Other	(0.0)	(0.0)	0.0	7.4	0.0	0.0	0.0	0.0	0.0	7.5	0.0	(0.1)
Net CF from operating activities	188.5	245.4	324.3	497.2	(5.5)	54.2	69.8	324.3	31.0	94.2	136.8	235.2

Company financial statements (5/5)

Cash flow

(PLNm)	2014	2015	2016	2017	1Q 2016	2Q 2016	3Q 2016	4Q 2016	1Q 2017	2Q 2017	3Q 2017	4Q 2017
Cash flows from investing activities												
Proceeds from sale of property, plant and equipment and intangibles	0.4	0.9	1.1	8.0	0.6	(1.5)	(3.1)	1.1	0.1	1.1	6.4	0.4
Purchase of property, plant and equipment and intangibles	(170.7)	(243.5)	(311.7)	(410.6)	(84.8)	(74.0)	(101.6)	(311.7)	(83.0)	(89.3)	(113.3)	(125.0)
Sell of other financial assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Interest received	0.2	0.1	0.4	0.5	0.0	0.0	0.0	0.4	0.0	0.0	0.0	0.4
Net CF from investing activities	(170.2)	(242.5)	(310.2)	(402.1)	(84.2)	(75.4)	(104.6)	(310.2)	(82.9)	(88.2)	(106.8)	(124.2)
Cash flows from financing activities												
Payment of financial lease liabilities	(24.5)	(30.0)	(43.9)	(51.9)	(9.5)	(11.0)	(11.1)	(43.9)	(9.8)	(14.8)	(12.4)	(15.0)
Proceeds from loans and borrowings	111.7	141.8	219.1	117.3	98.8	62.4	87.6	219.1	57.5	41.4	24.1	(5.6)
Repayment of loans and borrowings	(72.8)	(79.5)	(127.1)	(86.8)	(12.2)	(12.2)	(15.3)	(127.1)	(17.4)	(16.5)	(15.0)	(37.9)
Issue of debt securities	0.0	0.0	0.0	100.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	100.0
Interest paid	(26.5)	(25.0)	(29.7)	(37.4)	(7.7)	(7.2)	(8.0)	(29.7)	(8.5)	(9.5)	(9.4)	(10.0)
Net CF from financing activities	(12.1)	7.3	18.4	41.1	69.5	31.9	53.3	18.4	21.8	0.6	(12.8)	31.5
Net increase/(decrease) in cash and cash equivalents	6.2	10.2	32.5	136.2	(20.1)	10.7	18.5	32.5	(30.0)	6.6	17.2	142.4
Cash and cash equivalents at the beginning of the period	17.5	23.7	33.9	66.4	33.9	13.8	24.5	33.9	66.4	36.4	43.1	60.2
Cash and cash equivalents at the end of the period	23.7	33.9	66.4	202.6	13.8	24.5	43.0	66.4	36.4	43.1	60.2	202.6

Contact information

Grzegorz Uraziński
Head of Investor Relations

grzegorz.urazinski@marketaidino.pl
+48 695 234 561

Ul. Ostrowska 122
63-700 Krotoszyn
Poland

<http://grupadino.pl>







